* 0000800000001 *

Cambridge Assessment International Education

Cambridge O Level

CANDIDATE NAME

CENTRE NUMBER

CANDIDATE NUMBER

8315279329

BUSINESS STUDIES **7115/12**

Paper 1 Short Answer and Data Response **May/June 2025**

1 hour 30 minutes

You must answer on the question paper.

No additional materials are needed.

INSTRUCTIONS

- Answer **all** questions.
- Use a black or dark blue pen. You may use an HB pencil for any diagrams or graphs.
- Write your name, centre number and candidate number in the boxes at the top of the page.
- Write your answer to each question in the space provided.
- Do **not** use an erasable pen or correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 80.
- The number of marks for each question or part question is shown in brackets [ ].

This document has **12** pages. Any blank pages are indicated.

© UCLES 2025

[Turn over

1 NFC manufactures shoes using batch production. Quality assurance is used to maintain quality. NFC uses market segmentation. The Marketing Director is reviewing NFC's product range. He knows there are both benefits and limitations to developing new products. He also knows the promotion of products is important.

(a) Define 'batch production'.

.....

.....

.....

..... [2]

(b) Identify **two** aims of promotion.

Aim 1: .....

.....

Aim 2: .....

..... [2]

(c) Outline **one** advantage and **one** disadvantage to NFC of using quality assurance.

Advantage: .....

.....

.....

.....

Disadvantage: .....

.....

.....

..... [4]

DO NOT WRITE IN THIS MARGIN

(d) Explain **two** benefits to NFC of using market segmentation.

Benefit 1: .....

.....

Explanation: .....

.....

.....

.....

Benefit 2: .....

.....

Explanation: .....

.....

.....

..... [6]

(e) Do you think the benefits for a business of developing new products are greater than the limitations? Justify your answer.

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

..... [6]

DO NOT WRITE IN THIS MARGIN

DO NOT WRITE IN THIS MARGIN

DO NOT WRITE IN THIS MARGIN

DO NOT WRITE IN THIS MARGIN

DO NOT WRITE IN THIS MARGIN

2 FLD is a furniture retailer. It has 460 shops and 20 000 employees. Internal recruitment is used when recruiting new shop managers. The Managing Director wants to know whether job rotation is the best method of motivation for a large business to use. The Finance Director is reviewing FLD's income statement. An extract is shown in Table 2.1. She is concerned that FLD's gross profit is decreasing.

Table 2.1

Extract from FLD's income statement for year ending April 2025 ($ million)	
Revenue	400
Gross profit	200
Expenses	60
Profit	140

(a) Define 'profit'.

.....

.....

.....

..... [2]

(b) Identify **two** expenses a business might have.

Expense 1: .....

.....

Expense 2: .....

..... [2]

(c) Outline **two** possible reasons why FLD's gross profit is decreasing.

Reason 1: .....

.....

.....

.....

Reason 2: .....

.....

.....

..... [4]

© UCLES 2025

DO NOT WRITE IN THIS MARGIN DO NOT WRITE IN THIS MARGIN DO NOT WRITE IN THIS MARGIN DO NOT WRITE IN THIS MARGIN DO NOT WRITE IN THIS MARGIN

(d) Explain **two** advantages to FLD of using internal recruitment when recruiting new managers.

Advantage 1: .....

.....

Explanation: .....

.....

.....

.....

Advantage 2: .....

.....

Explanation: .....

.....

.....

..... [6]

(e) Do you think job rotation is the best method for a large business to use to motivate its employees? Justify your answer.

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

..... [6]

DO NOT WRITE IN THIS MARGIN
DO NOT WRITE IN THIS MARGIN
DO NOT WRITE IN THIS MARGIN
DO NOT WRITE IN THIS MARGIN
DO NOT WRITE IN THIS MARGIN

3 Hal wants to be a successful entrepreneur. He plans to leave his job to start up a bakery. The bakery will operate in the private sector. The business will have many stakeholder groups. Hal has been told it is important for a new business to select an appropriate source of start-up capital. He also knows new businesses are at a greater risk of failure.

(a) Define 'private sector'.

.....

.....

.....

..... [2]

(b) Identify **two** reasons why new businesses are at a greater risk of failure.

Reason 1: .....

.....

Reason 2: .....

..... [2]

(c) Identify **four** stakeholder groups a business might have.

Stakeholder 1: .....

.....

Stakeholder 2: .....

.....

Stakeholder 3: .....

.....

Stakeholder 4: .....

..... [4]

DO NOT WRITE IN THIS MARGIN

(d) Explain **two** characteristics Hal will need to become a successful entrepreneur.

Characteristic 1: .....

.....

Explanation: .....

.....

.....

.....

Characteristic 2: .....

.....

Explanation: .....

.....

.....

..... [6]

(e) Do you think a bank loan is the best source of start-up capital for a new business? Justify your answer.

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

..... [6]

DO NOT WRITE IN THIS MARGIN
DO NOT WRITE IN THIS MARGIN
DO NOT WRITE IN THIS MARGIN
DO NOT WRITE IN THIS MARGIN
DO NOT WRITE IN THIS MARGIN

4 MHL manufactures tyres for large vehicles. It has factories in 6 countries. The business creates external costs when producing its products. Good communication with MHL's suppliers is important. The Managing Director knows globalisation provides many opportunities for MHL. She is reviewing data for one of MHL's factories as she wants to reduce the average cost of the tyres. An extract from this data is shown in Table 4.1.

Table 4.1

Data for one of MHL's factories	
Output per month (units)	200 000
Fixed costs per month	$500 000
Variable cost per unit	$25

(a) Define 'average cost'.

.....

.....

.....

..... [2]

(b) Calculate total variable cost per month. Show your working.

Working: .....

.....

.....

Final answer: ..... [2]

(c) Outline **two** external costs MHL might create when producing its products.

External cost 1: .....

.....

.....

.....

External cost 2: .....

.....

.....

..... [4]

DO NOT WRITE IN THIS MARGIN

(d) Explain **two** opportunities of globalisation for MHL.

Opportunity 1: .....

.....

Explanation: .....

.....

.....

.....

Opportunity 2: .....

.....

Explanation: .....

.....

.....

..... [6]

(e) Explain **two** methods of communication a business could use to communicate with its suppliers. Which is likely to be the best method to use? Justify your answer.

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

..... [6]

DO NOT WRITE IN THIS MARGIN

DO NOT WRITE IN THIS MARGIN

DO NOT WRITE IN THIS MARGIN

DO NOT WRITE IN THIS MARGIN

DO NOT WRITE IN THIS MARGIN

BLANK PAGE

DO NOT WRITE IN THIS MARGIN
DO NOT WRITE IN THIS MARGIN
DO NOT WRITE IN THIS MARGIN
DO NOT WRITE IN THIS MARGIN
DO NOT WRITE IN THIS MARGIN

BLANK PAGE

DO NOT WRITE IN THIS MARGIN
DO NOT WRITE IN THIS MARGIN
DO NOT WRITE IN THIS MARGIN
DO NOT WRITE IN THIS MARGIN
DO NOT WRITE IN THIS MARGIN

BLANK PAGE

DO NOT WRITE IN THIS MARGIN
DO NOT WRITE IN THIS MARGIN
DO NOT WRITE IN THIS MARGIN
DO NOT WRITE IN THIS MARGIN
DO NOT WRITE IN THIS MARGIN

Permission to reproduce items where third-party owned material protected by copyright is included has been sought and cleared where possible. Every reasonable effort has been made by the publisher (UCLES) to trace copyright holders, but if any items requiring clearance have unwittingly been included, the publisher will be pleased to make amends at the earliest possible opportunity.

To avoid the issue of disclosure of answer-related information to candidates, all copyright acknowledgements are reproduced online in the Cambridge Assessment International Education Copyright Acknowledgements Booklet. This is produced for each series of examinations and is freely available to download at www.cambridgeinternational.org after the live examination series.

Cambridge Assessment International Education is part of Cambridge Assessment. Cambridge Assessment is the brand name of the University of Cambridge Local Examinations Syndicate (UCLES), which is a department of the University of Cambridge.

© UCLES 2025